

1 **HOUSE OF REPRESENTATIVES - FLOOR VERSION**

2 STATE OF OKLAHOMA

3 2nd Session of the 60th Legislature (2026)

4 COMMITTEE SUBSTITUTE
5 FOR ENGROSSED
6 SENATE BILL NO. 1242

By: Hamilton of the Senate

and

Marti of the House

12 COMMITTEE SUBSTITUTE

13 An Act relating to medical marijuana; amending 63
14 O.S. 2021, Section 427.14, as last amended by Section
15 2, Chapter 494, O.S.L. 2025 and Section 3, Chapter
16 328, O.S.L. 2022, as last amended by Section 1,
17 Chapter 389, O.S.L. 2025 (63 O.S. Supp. 2025,
18 Sections 427.14 and 427.14b), which relate to the
19 Oklahoma Medical Marijuana and Patient Protection
20 Act; deleting requirement for posting certain bond;
21 requiring certain licensees to submit a land
22 reclamation fee; providing fee amount; providing an
23 exemption; requiring the examination of certain land
24 ownership documents; defining term; directing the
 Oklahoma Medical Marijuana Authority to provide
 certain notice to law enforcement agencies; directing
 applicant to submit certain documentation; deleting
 third-party vendor requirement to provide certain
 documents; deleting list of educational training
 subjects; removing ability to appeal adverse
 determinations by the Oklahoma Medical Marijuana
 Authority; deleting civil liability exemption;
 directing third-party vendors to provide educational
 training course plan with specific topics;
 establishing nonrefundable application and renewal

1 fees; directing third-party vendors to update courses
2 and provide notification of update to the Authority;
3 allowing for in-classroom or virtual courses;
4 requiring minimum post-exam score; allowing the
5 Authority to approve certain third-party vendor;
6 creating the Oklahoma Medical Marijuana Land
7 Reclamation Revolving Fund; stating purpose of fund;
8 making appropriations to the fund; providing for
9 expenditures; repealing Section 2, Chapter 41, O.S.L.
10 2023 (63 O.S. Supp. 2025, Section 427.26), which
11 relates to bond requirement for medical marijuana
12 commercial growers; providing for codification; and
13 providing an effective date.

14
15 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

16 SECTION 1. AMENDATORY 63 O.S. 2021, Section 427.14, as
17 last amended by Section 2, Chapter 494, O.S.L. 2025 (63 O.S. Supp.
18 2025, Section 427.14), is amended to read as follows:

19 Section 427.14. A. There is hereby created the medical
20 marijuana business license, which shall include the following
21 categories:

- 22 1. Medical marijuana commercial grower;
- 23 2. Medical marijuana processor;
- 24 3. Medical marijuana dispensary;
4. Medical marijuana transporter; and
5. Medical marijuana testing laboratory.

1 B. The Oklahoma Medical Marijuana Authority, with the aid of
2 the Office of Management and Enterprise Services, shall develop a
3 website for medical marijuana business applications.

4 C. The Authority shall make available on its website, in an
5 easy-to-find location, applications for a medical marijuana
6 business.

7 D. 1. The annual, nonrefundable fee for a medical marijuana
8 transporter license shall be Two Thousand Five Hundred Dollars
9 (\$2,500.00).

10 2. The initial, nonrefundable fee for a medical marijuana
11 commercial grower license shall be calculated based upon the total
12 amount of square feet of canopy or acres the grower estimates will
13 be harvested, transferred, or sold for the year. The annual,
14 nonrefundable license fee shall be based upon the total amount of
15 square feet of canopy or acres harvested, transferred, or sold by
16 the grower during the previous twelve (12) months. The amount of
17 the fees shall be determined as follows:

18 a. For an indoor, greenhouse, or light deprivation
19 medical marijuana grow facility:

20 (1) Tier 1: Up to ten thousand (10,000) square feet
21 of canopy, the fee shall be Two Thousand Five
22 Hundred Dollars (\$2,500.00),

23 (2) Tier 2: Ten thousand one (10,001) square feet of
24 canopy to twenty thousand (20,000) square feet of

canopy, the fee shall be Five Thousand Dollars
(\$5,000.00),

(3) Tier 3: Twenty thousand one (20,001) square feet
of canopy to forty thousand (40,000) square feet
of canopy, the fee shall be Ten Thousand Dollars
(\$10,000.00),

(4) Tier 4: Forty thousand one (40,001) square feet
of canopy to sixty thousand (60,000) square feet
of canopy, the fee shall be Twenty Thousand
Dollars (\$20,000.00),

(5) Tier 5: Sixty thousand one (60,001) square feet
of canopy to eighty thousand (80,000) square feet
of canopy, the fee shall be Thirty Thousand
Dollars (\$30,000.00),

(6) Tier 6: Eighty thousand one (80,001) square feet
of canopy to ninety-nine thousand nine hundred
ninety-nine (99,999) square feet of canopy, the
fee shall be Forty Thousand Dollars (\$40,000.00),
and

(7) Tier 7: One hundred thousand (100,000) square
feet of canopy and beyond, the fee shall be Fifty
Thousand Dollars (\$50,000.00), plus an additional
twenty-five cents (\$0.25) per square foot of

1 canopy over one hundred thousand (100,000) square
2 feet.

3 b. For an outdoor medical marijuana grow facility:

- 4 (1) Tier 1: Less than two and one-half (2 1/2)
5 acres, the fee shall be Two Thousand Five Hundred
6 Dollars (\$2,500.00),
- 7 (2) Tier 2: More than two and one-half (2 1/2) acres
8 up to five (5) acres, the fee shall be Five
9 Thousand Dollars (\$5,000.00),
- 10 (3) Tier 3: More than five (5) acres up to ten (10)
11 acres, the fee shall be Ten Thousand Dollars
12 (\$10,000.00),
- 13 (4) Tier 4: More than ten (10) acres up to twenty
14 (20) acres, the fee shall be Twenty Thousand
15 Dollars (\$20,000.00),
- 16 (5) Tier 5: More than twenty (20) acres up to thirty
17 (30) acres, the fee shall be Thirty Thousand
18 Dollars (\$30,000.00),
- 19 (6) Tier 6: More than thirty (30) acres up to forty
20 (40) acres, the fee shall be Forty Thousand
21 Dollars (\$40,000.00),
- 22 (7) Tier 7: More than forty (40) acres up to fifty
23 (50) acres, the fee shall be Fifty Thousand
24 Dollars (\$50,000.00), and

1 (8) Tier 8: If the amount of acreage exceeds fifty
2 (50) acres, the fee shall be Fifty Thousand
3 Dollars (\$50,000.00) plus an additional Two
4 Hundred Fifty Dollars (\$250.00) per acre.

5 c. For a medical marijuana commercial grower that has a
6 combination of both indoor and outdoor growing
7 facilities at one location, the medical marijuana
8 commercial grower shall be required to obtain a
9 separate license from the Authority for each type of
10 grow operation and shall be subject to the licensing
11 fees provided for in subparagraphs a and b of this
12 paragraph.

13 d. As used in this paragraph:

14 (1) "canopy" means the total surface area within a
15 cultivation area that is dedicated to the
16 cultivation of flowering marijuana plants. The
17 surface area of the plant canopy must be
18 calculated in square feet and measured and must
19 include all of the area within the boundaries
20 where the cultivation of the flowering marijuana
21 plants occurs. If the surface of the plant
22 canopy consists of noncontiguous areas, each
23 component area must be separated by identifiable
24 boundaries. If a tiered or shelving system is

1 used in the cultivation area, the surface area of
2 each tier or shelf must be included in
3 calculating the area of the plant canopy.
4 Calculation of the area of the plant canopy may
5 not include the areas within the cultivation area
6 that are used to cultivate immature marijuana
7 plants and seedlings, prior to flowering, and
8 that are not used at any time to cultivate mature
9 marijuana plants. If the flowering plants are
10 vertically grown in cylinders, the square footage
11 of the canopy shall be measured by the
12 circumference of the cylinder multiplied by the
13 total length of the cylinder,

14 (2) "greenhouse" means a structure located outdoors
15 that is completely covered by a material that
16 allows a controlled level of light transmission,
17 and

18 (3) "light deprivation" means a structure that has
19 concrete floors and the ability to manipulate
20 natural light.

21 3. The initial, nonrefundable fee for a medical marijuana
22 processor license shall be Two Thousand Five Hundred Dollars
23 (\$2,500.00). The annual, nonrefundable license fee for a medical
24

1 marijuana processor license shall be determined based on the
2 previous twelve (12) months as follows:

- 3 a. Tier 1: The transfer or sale of zero (0) to ten
4 thousand (10,000) pounds of biomass or the production,
5 transfer, or sale of up to one hundred (100) liters of
6 cannabis concentrate, whichever is greater, the annual
7 fee shall be Two Thousand Five Hundred Dollars
8 (\$2,500.00),
- 9 b. Tier 2: The transfer or sale of ten thousand one
10 (10,001) pounds to fifty thousand (50,000) pounds of
11 biomass or the production, transfer, or sale of one
12 hundred one (101) to three hundred fifty (350) liters
13 of cannabis concentrate, whichever is greater, the
14 annual fee shall be Five Thousand Dollars (\$5,000.00),
- 15 c. Tier 3: The transfer or sale of fifty thousand one
16 (50,001) pounds to one hundred fifty thousand
17 (150,000) pounds of biomass or the production,
18 transfer, or sale of three hundred fifty-one (351) to
19 six hundred fifty (650) liters of cannabis
20 concentrate, whichever is greater, the annual fee
21 shall be Ten Thousand Dollars (\$10,000.00),
- 22 d. Tier 4: The transfer or sale of one hundred fifty
23 thousand one (150,001) pounds to three hundred
24 thousand (300,000) pounds of biomass or the

1 production, transfer, or sale of six hundred fifty-one
2 (651) to one thousand (1,000) liters of cannabis
3 concentrate, whichever is greater, the annual fee
4 shall be Fifteen Thousand Dollars (\$15,000.00), and
5 e. Tier 5: The transfer or sale of more than three
6 hundred thousand one (300,001) pounds of biomass or
7 the production, transfer, or sale in excess of one
8 thousand one (1,001) liters of cannabis concentrate,
9 the annual fee shall be Twenty Thousand Dollars
10 (\$20,000.00).

11 For purposes of this paragraph only, if the cannabis concentrate
12 is in nonliquid form, every one thousand (1,000) grams of
13 concentrated marijuana shall be calculated as one (1) liter of
14 cannabis concentrate.

15 4. The initial, nonrefundable fee for a medical marijuana
16 dispensary license shall be Two Thousand Five Hundred Dollars
17 (\$2,500.00). The annual, nonrefundable license fee for a medical
18 marijuana dispensary license shall be calculated at ten percent
19 (10%) of the sum of twelve (12) calendar months of the combined
20 annual state sales tax and state excise tax of the dispensary during
21 the previous twelve (12) months. The minimum fee shall be not less
22 than Two Thousand Five Hundred Dollars (\$2,500.00) and the maximum
23 fee shall not exceed Ten Thousand Dollars (\$10,000.00).
24

1 5. The annual, nonrefundable license fee for a medical
2 marijuana testing laboratory shall be Twenty Thousand Dollars
3 (\$20,000.00).

4 E. All applicants seeking licensure or licensure renewal as a
5 medical marijuana business shall comply with the following general
6 requirements:

7 1. All applications for licenses and registrations authorized
8 pursuant to this section shall be made upon forms prescribed by the
9 Authority;

10 2. Each application shall identify the city or county in which
11 the applicant seeks to obtain licensure as a medical marijuana
12 business;

13 3. Applicants shall submit a complete application to the
14 Authority before the application may be accepted or considered;

15 4. All applications shall be complete and accurate in every
16 detail;

17 5. All applications shall include all attachments or
18 supplemental information required by the forms supplied by the
19 Authority;

20 6. All applications for a transporter license, initial
21 dispensary license, initial processor license, or laboratory license
22 shall be accompanied by a full remittance for the whole amount of
23 the license fee as set forth in subsection D of this section. All
24 submissions of grower applications, renewal processor applications,

1 and renewal dispensary applications shall be accompanied by a
2 remittance of a fee of Two Thousand Five Hundred Dollars
3 (\$2,500.00). The Authority shall invoice license applicants, if
4 applicable, and notify applicants in the same method and manner as
5 the application was submitted to the Authority for any additional
6 licensing fees owed pursuant to subsection D of this section prior
7 to approval of a license application. Applicants and licensees
8 shall remit all required license and application fees, including any
9 additional licensing fees, if applicable, in full within forty-five
10 (45) days of notification by the Authority. Failure to remit such
11 fees shall result in the denial of the application. License fees
12 are nonrefundable;

13 7. All applicants shall be approved for licensing review that,
14 at a minimum, meet the following criteria:

- 15 a. twenty-five (25) years of age or older,
- 16 b. if applying as an individual, proof that the applicant
17 is a resident of this state pursuant to paragraph 12
18 of this subsection,
- 19 c. if applying as an entity, proof that seventy-five
20 percent (75%) of all members, managers, executive
21 officers, partners, board members or any other form of
22 business ownership are residents of this state
23 pursuant to paragraph 12 of this subsection,

24

- 1 d. if applying as an individual or entity, proof that the
2 individual or entity is registered to conduct business
3 in this state,
4 e. disclosure of all ownership interests pursuant to the
5 Oklahoma Medical Marijuana and Patient Protection Act,
6 and
7 f. proof that the medical marijuana business, medical
8 marijuana research facility, medical marijuana
9 education facility and medical marijuana waste
10 disposal facility applicant or licensee has not been
11 convicted of a nonviolent felony in the last two (2)
12 years, or any other felony conviction within the last
13 five (5) years, is not a current inmate in the custody
14 of the Department of Corrections, or currently
15 incarcerated in a jail or corrections facility.

16 Upon reasonable suspicion that a medical marijuana business licensee
17 is illegally growing, processing, transferring, selling, disposing,
18 or diverting marijuana, the Authority, the Oklahoma State Bureau of
19 Narcotics and Dangerous Drugs Control, the Oklahoma State Bureau of
20 Investigation (OSBI), or the Attorney General may subpoena documents
21 necessary to establish the personal identifying information of all
22 owners and individuals with any ownership interest in the business;

23 8. There shall be no limit to the number of medical marijuana
24 business licenses or categories that an individual or entity can

1 apply for or receive, although each application and each category
2 shall require a separate application, application fee, or license
3 fee. A commercial grower, processor and dispensary, or any
4 combination thereof, are authorized to share the same address or
5 physical location, subject to the restrictions set forth in the
6 Oklahoma Medical Marijuana and Patient Protection Act;

7 9. No medical marijuana business premises is permitted to have
8 multiple licenses of the same type pursuant to the licensing
9 requirements of this section, excluding the following:

- 10 a. a commercial grower with a combination of an indoor or
11 outdoor growing facility on one parcel of land,
- 12 b. a licensed medical marijuana processor used by
13 multiple licensees, and
- 14 c. a licensed medical marijuana business that has an
15 approved application by the Authority while the new
16 business seeks registration from the Oklahoma State
17 Bureau of Narcotics and Dangerous Drugs Control
18 pursuant to Section 427.14c of this title;

19 10. All applicants for a medical marijuana business license,
20 research facility license or education facility license authorized
21 by the Oklahoma Medical Marijuana and Patient Protection Act, or for
22 a renewal of such license, shall undergo a national fingerprint-
23 based background check conducted by the Oklahoma State Bureau of
24

1 Investigation within thirty (30) days prior to the application for
2 the license, including:

- 3 a. individual applicants applying on their own behalf,
- 4 b. individuals applying on behalf of an entity,
- 5 c. all principal officers of an entity, and
- 6 d. all owners of an entity as defined by the Oklahoma
7 Medical Marijuana and Patient Protection Act;

8 11. All applicable fees charged by the OSBI are the
9 responsibility of the applicant and shall not be higher than fees
10 charged to any other person or industry for such background checks;

11 12. In order to be considered a resident of this state for
12 purposes of a medical marijuana business application, all applicants
13 shall provide proof of state residency for at least two (2) years
14 immediately preceding the date of application or five (5) years of
15 continuous state residency during the preceding twenty-five (25)
16 years immediately preceding the date of application. Sufficient
17 documentation of proof of residency shall include a combination of
18 the following:

- 19 a. an unexpired state-issued driver license,
- 20 b. a state-issued identification card,
- 21 c. a utility bill preceding the date of application,
22 excluding cellular telephone and Internet bills,
- 23 d. a residential property deed to property in this state,
24 and

1 e. a rental agreement preceding the date of application
2 for residential property located in this state.

3 Applicants that were issued a medical marijuana business license
4 prior to August 30, 2019, are hereby exempt from the two-year or
5 five-year Oklahoma residence requirement mentioned above;

6 13. All license applicants shall be required to submit a
7 registration with the Oklahoma State Bureau of Narcotics and
8 Dangerous Drugs Control as provided in Sections 2-301 through 2-309
9 of this title;

10 14. All applicants shall establish their identity through
11 submission of a color copy or digital image of one of the following
12 unexpired documents:

- 13 a. front of a state-issued driver license,
- 14 b. front of a state-issued identification card,
- 15 c. a United States passport or other photo identification
16 issued by the United States government, or
- 17 d. a tribal identification card approved for
18 identification purposes by the Department of Public
19 Safety;

20 15. All applicants shall submit an applicant photograph; and

21 16. All applicants for a medical marijuana business license
22 seeking to operate a commercial growing operation shall ~~file~~ submit,
23 along with their application, ~~a bond as prescribed in Section 427.26~~
24 ~~of this title~~ land reclamation fee in the amount of Two Thousand

1 Dollars (\$2,000.00). Submission and payment of the land reclamation
2 fee by the applicant shall not be required if, upon verification by
3 the Authority, the land upon which the applicant intends to conduct
4 commercial growing operations has been owned by the applicant or a
5 first degree relative of the applicant for a minimum of five (5)
6 years prior to submission of said application. The Authority shall
7 verify that the person submitting the application is the same
8 identical person or a first degree relative of the person who is the
9 owner of the land. Land ownership shall be verified by examining
10 recorded property deeds, property tax records, title insurance, or
11 mortgage statements. As used in this paragraph, "first degree
12 relative" includes a mother, father, spouse, son, or daughter.

13 F. The Authority shall review the medical marijuana business
14 application; approve, reject, or deny the application; and send the
15 approval, rejection, denial, or status-update letter to the
16 applicant in the same method the application was submitted to the
17 Authority within ninety (90) business days of receipt of the
18 application.

19 G. 1. The Authority shall review the medical marijuana
20 business applications, conduct all investigations, inspections, and
21 interviews, and collect all license and application fees before
22 approving the application.

23 2. Approved applicants shall be issued a medical marijuana
24 business license for the specific category applied under, which

1 shall act as proof of their approved status. Rejection and denial
2 letters shall provide a reason for the rejection or denial.
3 Applications may only be rejected or denied based on the applicant
4 not meeting the standards set forth in the provisions of the
5 Oklahoma Medical Marijuana and Patient Protection Act and Sections
6 420 through 427.28 of this title, improper completion of the
7 application, unpaid license or application fees, or for a reason
8 provided for in the Oklahoma Medical Marijuana and Patient
9 Protection Act and Sections 420 through 427.28 of this title. If an
10 application is rejected for failure to provide required information,
11 the applicant shall have thirty (30) days to submit the required
12 information for reconsideration. Unless the Authority determines
13 otherwise, an application that has been resubmitted but is still
14 incomplete or contains errors that are not clerical or typographical
15 in nature shall be denied.

16 3. Status-update letters shall provide a reason for delay in
17 either approval, rejection or denial should a situation arise in
18 which an application was submitted properly but a delay in
19 processing the application occurred.

20 4. Approval, rejection, denial or status-update letters shall
21 be sent to the applicant in the same method the application was
22 submitted to the Authority.

23 H. A license for a medical marijuana business, medical
24 marijuana research facility, medical marijuana education facility or

1 medical marijuana waste disposal facility shall not be issued to or
2 held by:

3 1. A person until all required fees have been paid;

4 2. A person who has been convicted of a nonviolent felony
5 within two (2) years of the date of application, or within five (5)
6 years for any other felony;

7 3. A corporation, if the criminal history of any of its
8 officers, directors or stockholders indicates that the officer,
9 director or stockholder has been convicted of a nonviolent felony
10 within two (2) years of the date of application, or within five (5)
11 years for any other felony;

12 4. A person under twenty-five (25) years of age;

13 5. A person licensed pursuant to this section who, during a
14 period of licensure, or who, at the time of application, has failed
15 to:

16 a. file taxes, interest or penalties due related to a
17 medical marijuana business, or

18 b. pay taxes, interest or penalties due related to a
19 medical marijuana business;

20 6. A sheriff, deputy sheriff, police officer or prosecuting
21 officer, or an officer or employee of the Authority or municipality;

22 7. A person whose authority to be a caregiver, as defined in
23 Section 427.2 of this title, has been revoked by the Authority; or
24

1 8. A person who was involved in the management or operations of
2 any medical marijuana business, medical marijuana research facility,
3 medical marijuana education facility or medical marijuana waste
4 disposal facility that, after the initiation of a disciplinary
5 action, has had a medical marijuana license revoked, not renewed, or
6 surrendered during the five (5) years preceding submission of the
7 application and for the following violations:

- 8 a. unlawful sales or purchases,
- 9 b. any fraudulent acts, falsification of records or
10 misrepresentation to the Authority, medical marijuana
11 patient licensees, caregiver licensees or medical
12 marijuana business licensees,
- 13 c. any grossly inaccurate or fraudulent reporting,
- 14 d. threatening or harming any medical marijuana patient,
15 caregiver, medical practitioner or employee of the
16 Authority,
- 17 e. knowingly or intentionally refusing to permit the
18 Authority access to premises or records,
- 19 f. using a prohibited, hazardous substance for processing
20 in a residential area,
- 21 g. criminal acts relating to the operation of a medical
22 marijuana business, or
- 23 h. any violations that endanger public health and safety
24 or product safety.

1 I. In investigating the qualifications of an applicant or a
2 licensee, the Authority and municipalities may have access to
3 criminal history record information furnished by a criminal justice
4 agency subject to any restrictions imposed by such an agency.

5 J. The failure of an applicant or licensee to provide the
6 requested information by the Authority deadline may be grounds for
7 denial of the application.

8 K. All applicants and licensees shall submit information to the
9 Authority in a full, faithful, truthful and fair manner. The
10 Authority may recommend denial of an application where the applicant
11 or licensee made misstatements, omissions, misrepresentations or
12 untruths in the application or in connection with the background
13 investigation of the applicant. This type of conduct may be grounds
14 for administrative action against the applicant or licensee. Typos
15 and scrivener errors shall not be grounds for denial.

16 L. A licensed medical marijuana business premises shall be
17 subject to and responsible for compliance with applicable provisions
18 consistent with the zoning where such business is located as
19 described in the most recent versions of the Oklahoma Uniform
20 Building Code, the International Building Code and the International
21 Fire Code, unless granted an exemption by a municipality or
22 appropriate code enforcement entity.

23 M. All medical marijuana business, medical marijuana research
24 facility, medical marijuana education facility and medical marijuana

1 waste disposal facility licensees shall pay the relevant licensure
2 fees prior to receiving licensure to operate. Applicants and
3 licensees shall remit all required license and application fees,
4 including any additional licensing fees, if applicable, in full
5 within forty-five (45) days of notification by the Authority.
6 Failure to remit such fees shall result in the denial of the
7 application.

8 N. A medical marijuana business, medical marijuana research
9 facility, medical marijuana education facility or medical marijuana
10 waste disposal facility that attempts to renew its license after the
11 expiration date of the license shall pay a late renewal fee of Five
12 Hundred Dollars (\$500.00) per week that the license is expired.
13 Late renewal fees are nonrefundable. A license that has been
14 expired for more than sixty (60) calendar days shall not be renewed.
15 Only license renewal applications submitted at least sixty (60)
16 calendar days prior to the expiration date shall be considered
17 timely submitted and subject to the provisions of subsection F of
18 this section. A medical marijuana business license shall remain
19 unexpired during the pendency of the application for renewal
20 provided that such application was timely submitted. The Authority
21 shall allow renewal applications to be submitted at least one
22 hundred twenty (120) calendar days prior to the expiration date of a
23 medical marijuana business license.

24

1 O. 1. Except as provided by this section, immediately upon
2 expiration of a license, any medical marijuana business, medical
3 marijuana research facility, medical marijuana education facility,
4 or medical marijuana waste disposal facility shall cease all
5 possession, transfer, or sale of medical marijuana or medical
6 marijuana products. Any continued possession, sale, or transfer
7 shall subject the business owners and operators to felony
8 prosecution pursuant to the Uniform Controlled Dangerous Substances
9 Act.

10 2. Upon the expiration or revocation of a medical marijuana
11 business license or a determination that the business license is no
12 longer in good standing, the Authority shall provide notice to all
13 law enforcement agencies in the jurisdiction of the medical
14 marijuana business that the business license has expired, been
15 revoked, or is no longer in good standing.

16 P. A medical marijuana business license holder shall require
17 all individuals employed under his or her license to be issued a
18 credential pursuant to the provisions of Section 427.14b of this
19 title prior to employment.

20 Q. An original medical marijuana business license issued on or
21 after June 26, 2018, by the Authority, for a medical marijuana
22 commercial grower, a medical marijuana processor or a medical
23 marijuana dispensary shall be deemed to have been grandfathered into
24 the location on the date the original license was first issued for

1 purposes of determining the authority of the business to conduct and
2 continue the same type of business at that location under a license
3 issued by the Authority, except as may be provided in Sections 425
4 and 426.1 of this title. Any change in ownership after the original
5 medical marijuana business license has been issued by the Authority
6 shall be construed by the Authority to be a continuation of the same
7 type of business originally licensed at that location. Nothing
8 shall authorize the Authority to deny issuance or renewal of a
9 license or transfer of license due to a change in ownership for the
10 same business location previously licensed, except when a revocation
11 is otherwise authorized by law or a protest is made under the
12 municipal compliance provisions of Section 426.1 of this title.

13 R. A medical marijuana business license holder shall require
14 all individuals employed under their license to be issued a
15 credential pursuant to the provisions of Section 427.14b of this
16 title prior to employment.

17 S. The Executive Director of the Authority may promulgate rules
18 to implement the provisions of this section including, but not
19 limited to, required application materials to be submitted by the
20 applicant and utilized by the Authority to determine medical
21 marijuana business licensing fees pursuant to this section.

22 SECTION 2. AMENDATORY Section 3, Chapter 328, O.S.L.
23 2022, as last amended by Section 1, Chapter 389, O.S.L. 2025 (63
24 O.S. Supp. 2025, Section 427.14b), is amended to read as follows:

1 Section 427.14b. A. Beginning January 1, 2024, the Oklahoma
2 Medical Marijuana Authority shall require employees of a medical
3 marijuana business licensee to apply for and receive a credential
4 authorizing the employee to work in a licensed medical marijuana
5 business.

6 B. The Authority may contract with one or more third-party
7 vendors to provide the credentialing services necessary to carry out
8 the provisions of this section.

9 C. The Authority shall determine the services to be provided by
10 such third-party vendor and shall establish costs and prices. If
11 contracted for credentialing services, a third-party vendor shall on
12 behalf of the Authority conduct the background checks and verify
13 eligibility for any employees of a medical marijuana business
14 license holder to obtain a credential.

15 D. Upon successful completion of the national fingerprint-based
16 background check conducted by the Oklahoma State Bureau of
17 Investigation within thirty (30) days prior to the application,
18 completion of the educational training required pursuant to the
19 provisions of this section, and verification of eligibility for an
20 employee, the Authority shall issue a credential to the employee.
21 The applicant shall submit proof of completion of the required
22 educational training and results of the background check and
23 verification in the credential application, ~~and the results of~~
24

~~background checks and verifications shall be provided to the Authority by the third-party vendor.~~

E. Beginning January 1, 2027, in order to receive an employee credential, all employees of a licensed medical marijuana business shall annually complete an educational training course provided by or approved by the Authority. The employee shall submit proof of completion of the required educational training in order to receive an employee credential. ~~Such training may include an overview of state statutes and administrative rules, patient privacy requirements, and the safe handling and storage of medical marijuana.~~

F. ~~If the third-party vendor determines that an employee of a medical marijuana business holder does not meet the minimum statutory requirements for a credential, the applicant or employee shall have no recourse against the third-party vendor but may appeal such adverse determination to the Authority.~~

G. ~~The~~ To be approved by the Authority, the third-party vendor shall ~~not be civilly liable to an applicant, licensee, or employee of a licensee for any acts taken in good-faith compliance with the provisions of Section 420 et seq. of this title and the Oklahoma Medical Marijuana and Patient Protection Act and the rules promulgated by the Oklahoma Medical Marijuana Authority.~~ provide an educational training course plan that includes, but is not limited to, an overview of the following topics:

1 1. State statutes and administrative rules;

2 2. Patient privacy requirements;

3 3. Safe, sanitary handling and storage of medical marijuana;

4 4. Guidance and training on how to appropriately advise

5 patients on the use of medical marijuana products; and

6 5. Detecting, preventing, and reporting the diversion of

7 medical marijuana to minors, unlicensed medical marijuana patients

8 or unlicensed medical marijuana caregivers, or other unauthorized

9 persons.

10 G. A nonrefundable application fee of Five Hundred Dollars

11 (\$500.00) shall be submitted with the educational training

12 application of the third-party vendor and a nonrefundable

13 application fee of Two Hundred Fifty Dollars (\$250.00) shall be

14 required every twenty-four (24) months for renewal of said

15 application. A third-party vendor shall update the course with any

16 applicable changes to the Oklahoma Statutes or administrative rules

17 not later than ten (10) days after the effective date of the change.

18 The third-party vendor shall notify the Authority of a change to an

19 approved course not later than three (3) days after the change. The

20 educational training course may be taught in a classroom or virtual

21 setting and an employee of a licensed medical marijuana business

22 shall be required to score a seventy percent (70%) or higher on a

23 post-course exam demonstrating an understanding of the course

24 materials.

1 H. 1. The Authority shall review the medical marijuana
2 credential application; approve, reject, or deny the application;
3 and send the approval, rejection, or denial letter to the applicant
4 by the same method in which the application was submitted to the
5 Authority.

6 2. Each approved applicant shall be issued a credential, which
7 shall act as proof of his or her approved status, to be worn or
8 displayed during the hours of work of the employee. Rejection and
9 denial letters shall provide a reason for the rejection or denial.
10 Applications may only be rejected or denied for failure to meet the
11 standards set forth in the provisions of the Oklahoma Medical
12 Marijuana and Patient Protection Act or rules promulgated by the
13 Executive Director of the Authority. If an application is rejected
14 for failure to provide required information, the applicant shall
15 have thirty (30) days to submit the required information for
16 reconsideration. Unless the Authority determines otherwise, an
17 application that has been resubmitted but is still incomplete or
18 contains errors that are not clerical or typographical in nature
19 shall be denied.

20 I. The Authority may approve any third-party vendor meeting the
21 requirements of subsection F of this section to provide the
22 educational training course necessary to carry out the provisions of
23 subsection E of this section. The Authority shall have sixty (60)
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1 days to approve or deny an application of a vendor to provide the
2 educational training course.

3 J. The Executive Director of the Authority may promulgate rules
4 to implement the provisions of this section.

5 SECTION 3. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 427.5b of Title 63, unless there
7 is created a duplication in numbering, reads as follows:

8 There is hereby created in the State Treasury a revolving fund
9 for the Oklahoma Medical Marijuana Authority to be designated the
10 "Oklahoma Medical Marijuana Land Reclamation Revolving Fund". The
11 fund shall be a continuing fund, not subject to fiscal year
12 limitations, and shall consist of all monies received by the
13 Authority from land reclamation fees collected pursuant to the
14 Oklahoma Medical Marijuana and Patient Protection Act. All monies
15 accruing to the credit of the fund are hereby appropriated and may
16 be budgeted and expended by the Oklahoma Medical Marijuana Authority
17 for the purposes provided for in this section. Expenditures from
18 the fund shall be made upon warrants issued by the State Treasurer
19 against claims filed as prescribed by law with the Director of the
20 Office of Management and Enterprise Services for approval and
21 payment. Up to Five Million Dollars (\$5,000,000.00) of the funds
22 received by and credited to the fund may be used and expended by the
23 Oklahoma Medical Marijuana Authority for environmental remediation
24

1 and redevelopment projects. Any remaining funds shall be deposited
2 in the General Revenue Fund of the State Treasury.

3 SECTION 4. REPEALER Section 2, Chapter 41, O.S.L. 2023
4 (63 O.S. Supp. 2025, Section 427.26), is hereby repealed.

5 SECTION 5. This act shall become effective November 1, 2026.

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7 COMMITTEE REPORT BY: COMMITTEE ON HEALTH AND HUMAN SERVICES
8 OVERSIGHT, dated 04/16/2026 - DO PASS, As Amended.

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